contribute a good share of the cost, there is rivalry between the state and the Centre to take the credit.

The unemployment and misery induced by COVID-19 and the subsequent lockdown provided the Centre an opportunity to launch highly publicized programmes to benefit a large part of the population. Additional foodgrains and pulses were provided to over 75 crore ration card holders. Cash assistance of Rs 500 was deposited in over 20 crore bank accounts of women. Financial benefits were delivered directly to people in their bank accounts. The Centre definitely won the battle of perception in delivering benefits.

The debt part of the equation has also undergone important changes. States don't have authority to borrow as much as they like and need. In fact, they need the approval of the Centre to borrow as they are indebted to it, as central loans to the states have come down substantially.

The Central government has started imposing conditionalities on states while granting permission to make extra borrowings to deal with falling tax revenues. The permission granted in May 2020 to allow raising of additional 1.5 per cent of Gross State Domestic Product (GSDP) as borrowing was subject to several conditions. This was an unprecedented development.

Another measure worth noting is the offer to provide a total of Rs 12,000 crore ($1.6 billion) as interest-free loans for fifty years to the states to maintain the pace of capital expenditure. Not only is the amount quite small, it has the potential to keep states indebted to Centre for five decades!

All these changes have again made the states subordinate. The fiscal dominance of the Centre is back with a vengeance.

For the past six years, centripetal forces have gathered strength again. This has been most visible in the way the matter of Compensation Cess for GST was handled; the expansion and administration of CSSs, especially the expansion of direct benefit transfers (DBT); the Disaster Management Act